Interest Rates to 10%: Why the Treasury Market is the Real Speculative Bubble (Not AI) | Russell Clark

Podcast: Monetary matters

AI Executive Summary

1. Core Thesis The global economic paradigm is undergoing a fundamental shift from a decades-long deflationary, low-interest-rate era—characterized by free markets, currency devaluation, and accumulating capital—toward a structural inflationary environment driven by aggressive government spending, rising wages, and geopolitical competition. This transition threatens the stability of the US Treasury market and poses an existential risk to business models (such as private credit and private equity) that rely on permanently cheap capital, while simultaneously necessitating much higher interest rates to restore economic balance in sectors like housing.

2. Key Arguments & Data * **The Treasury Market Speculation:** While much attention is focused on the AI bubble, the Treasury market represents a larger speculative risk. The fundamental "tax and spend" model is breaking down; US government revenue now barely covers mandatory expenses like Social Security and interest payments (estimated at 90% of revenue), excluding defense and infrastructure. * **The Shift in Foreign Reserves:** The freezing of Russian foreign reserves has changed the psychology of sovereign wealth. Countries may increasingly move away from Treasuries toward gold to avoid the geopolitical risks of holding USD-denominated assets. * **The "10% Yield" Housing Thesis:** To make housing affordable for the 20–40 age demographic, wages must grow by approximately 7% annually (doubling in a decade) while nominal house prices remain flat. This requires a real interest rate of roughly 3%, which implies that headline Treasury yields may need to reach levels around 10%. * **AI as Defensive CAPEX:** Contrary to the "bubble" narrative, high AI spending by companies like Google, Microsoft, and Amazon is largely defensive. These firms are investing heavily to protect their existing moats against disruptions from Large Language Models (LLMs) and competitors like Elon Musk’s emerging compute capabilities. * **The End of the Pro-Capital Era:** The era of "piling up capital" that pushed interest rates down is ending. We are entering an era of spending/consumption, which drives inflation and rising costs of capital. This specifically threatens the private credit and private equity sectors, where "gated redemptions" and liquidity concerns are already emerging as the cost of debt rises. * **Technological**

Impact on Labor: Unlike the 1970s, AI is unlikely to trigger mass unemployment; rather, it may devalue "middle-class" professional services (accountants, lawyers) while increasing the value of high-end, specialized skills, much like mass-produced clothing increased the premium on luxury Italian tailoring.

3. Actionable Takeaways * Reassess Interest Rate Expectations: Investors should prepare for a "new normal" of significantly higher interest rates and abandon the expectation of the sub-3% era; monitor long-end Treasury yields for signs of structural upward shifts. * **Identify Vulnerable Sectors:** Exercise caution with highly leveraged assets, triple-leveraged ETFs, and private credit/equity funds that are fundamentally dependent on a low-interest-rate environment, as these are most susceptible to "pain point" liquidations. * **Monitor the "Defensive Tech" Narrative:** When evaluating AI exposure, look beyond simple growth metrics; distinguish between companies using AI for expansion versus those forced into high CAPEX to prevent moat erosion. * **Hedge Against Inflationary Shifts:** Consider diversifying into assets that traditionally benefit from higher real rates or inflation protection (such as certain commodities or financials) and watch for the movement of capital from sovereign bonds toward hard assets like gold.

Full Transcript

If I look at people 40 and under, those in the 20 and 30s, their number one problem is they can't afford housing. If you want to get housing back to some more reasonable levels, you need to have wages rising at about 7% a year. So doubling in 10 years. And then you need to have the housing market be flat in nominal terms, so falling in real terms. So that requires you to have a real rate. of about 3%. So people keep their money on deposit rather than sticking to real assets. So that gives you an interest rate around 10%. And that's still my target for the year treasury is a 10% yield. So the question you sort of ask yourself is, you know, how far could wages go? This episode of Other People's Money is brought to you by the Tuquerium Soybean Fund, ticker SOYB. Let's get into it.

Welcome to Other People's Money. I'm Max Weethy and I'm joined today by Russell Clark, a hedge fund manager based in London. Russell, thank you for coming on the show. Thank you for having me. You write a sub-stack as well as managing a hedge fund and I have been reading and following. You put out an interesting piece in the last week. looking at the AI trade, a lot of people are saying this might be the end of a big speculative bubble in this AI trade, but you pointed to another asset class that you think is far larger and far more speculative. Tell me why you think this other much bigger market is really where there is a lot of risk right now. Yeah, so I think Max, you're talking about the Treasury market. There are two questions there. Is the AI market speculative?

And why do I think Treasury markets are speculative, if that makes sense. So with a Treasury market, I mean, normally if you look at, for me, if you look at any big bear trade that I've seen in my investing career and even before it, normally there were pretty good signs that things were going wrong, but people just happily ignored it, partly because it's human psychology. If there's a problem and you have to do something about it, It's always more comfortable just to ignore it if it hasn't been a problem that makes sense. And that's just natural sort of human psyche. So if you go back to like the GFC, for example, people knew there was a problem in the housing market three, four years before it actually sort of blew up.

And then they started to be a problem and everybody was like, it's a problem, but it's a problem we can deal with, we've dealt with it before. And then you had, of course, people saying, well, look, actually, the balance sheets of these banks are so bad that this housing crisis is going to be a bigger problem. And then eventually everyone sort of accepted it. And I'd say with US treasuries in particular, but government bonds in general, is that, you know, for the last few years, particularly since COVID, there's sort of been this understanding by the electorate and by politicians that governments will spend whatever it takes to keep growth going, if that makes sense. So if there's any problems, government come in. And with the Trump administration seem to have gone to another, you know, even more extreme version of that in that we will spend what we need to spend and we won't tax anyone either.

in particular the large corporates. So you just want, you know, we're going to have the spending, but we're not even going to try and get the taxation in. And so if you start looking at, you know, the sort of government, what's the word profit and loss statement if you like, you know, it's revenue now sort of barely covers its sort of mandated expenses of like social security interest payments and these sort of things. I think we're about 90%. So that's excluding other spending like on defense, education, infrastructure, whatever you want. So the fundamentals of the government spending, taxing, tax and spend have really broken down. And that's not just in the US, it's also in Japan. And so what's been interesting for me is that, you know, I sort of originally became quite bearish on treasuries in 2022. Mainly at that time, there were other reasons, but mainly because when Russian foreign reserves were frozen so they couldn't access them after they invaded Ukraine, I thought to myself, well, if you have foreign reserves, if you're a Russian government with foreign reserves and suddenly this money you're saving, you can't access.

Why would you save it in that place in the first place? And then, you know, you take that sort of thinking logic a couple more steps further and you go, well, actually, why would any country that could theoretically disagree with the Trump administration, which is basically everybody, you know, why would anyone hold treasuries as foreign reserves? That makes sense. And so, you know, I suspected we were going to see a natural flow have

treasuries into gold for me that was one thing i thought would happen but i also suspected that we'd see buyers for fixed income slowly particularly government sovereign fixed income slowly disappear and that certainly i think has been the case um treasury markets have held up relatively well but if you look at markets with more peripheral sovereign bond markets japan is a big one you know that's one of the biggest sovereign bond markets in the world, and the yields there have risen tremendously. But the UK as well, the gilt market remains very unstable, if that makes sense, the long end keeps selling off. And I think the US Treasures have held up a ride, but the fundamental buyers of that are slowly but surely disappearing. I think the thing that I try and emphasize when I'm talking about it is that So I'm 52, so I'm getting old. I know I look much younger, but I'm getting on. But this idea of massive sovereign wealth funds, massive foreign reserves is actually a relatively new one. Until 1980, the idea of holding another country's fixed income as a foreign reserve was unknown, if that makes sense. All foreign reserves were basically gold. And then we have this long period where Japan started buying treasuries could they stop didn't want their currency to appreciate China did the same very often nations to the same. So when you see those like 500 year charts that say well the reserve currency used to be the pound and before that it was another European currency and we go all the way back to the Portuguese and say that people tie it to the strongest navy in the world. So you're saying that that that's not really how it worked going back. We weren't owning bonds or currencies of other countries like we do today.

So a foreign reserve currency is very novel. That is a currency as a foreign reserve is novel. Gold used to be the only foreign reserve and typically the country that had the biggest army had the most gold for various reasons. Basically they went and took it from whoever had it. So if you lost a war, reparations tended to be big chunks of your gold reserve would be sent to whoever won. That makes sense. And so when you look to foreign, you know, I think you're confusing foreign reserves with sort of like the main trading currency or the currency that was used for Transactions if that makes sense and they often was backed by gold. So it was like, you know really until 70 70s, you know US dollar was always backed by gold You know once The once the British Empire start falling apart after World War I you saw a pound sterling become weaker and weaker because they couldn't

make the numbers work, if that makes sense. Okay, so you think we're moving back towards a more historical period where hard assets, particularly gold, make up the bulk of foreign reserves, or the concept of foreign reserves are really going to go away? Yeah, I do actually, because I think there was this, if you look at like this, and it's all a political argument, so it's not empirical.

So people often will argue with me with empirical data saying this is what's happened last for the years. Why are you saying it's going to be different? And what I'm saying to them is that we're moving a changing political environment and this is going to be the outcome from the change in politics. So I think what we saw sort of post 1980 with like Fatcher Reagan revolution was this sort of move away from a focus on full employment and rising wages. to more free market, let prices move wherever they want, their wages adjust, and wages can adjust in two ways. You actually cut them or you let your currency devalue to make your wages lower and you're more competitive. And so I think from 1980s through to maybe 2016 or something like that, the option that most countries took when they had a property or a financial or a current account, crisis of some sort was they would devalue and this would push down the wages of your domestic employees and you could then export your way back to growth. This was the model that was existed. And Japan sort of took it to another level where they bought treasuries to try and keep their yen weak to try and create inflation and growth that way. And part of those sort of arguments was also free trade, removing barriers, moving away from government-sponsored industrial organisations. So it used to be when I was a child, governments owned all the airlines, all the big airlines, they sold all of those, they got rid of those unions, were moved off the books. If you look at the states, you used to have the Big Three, GM, Ford, Chrysler, were all heavily utilised and protected by the government. Post 1980, They invited the Japanese auto companies in and they basically broke the unions within those organizations. So you had this sort of very was actually a globally very deflationary environment. And for countries that are very competitive like your Switzerland or your Japan or even your Germany's, you know, they would see natural appreciation of their currency, which they try and offset by buying US dollars, mainly treasuries. So we had this huge growth in capital.

Driven by basically trying to keep wages low One way or another but now I feel like the political environments moved to Moving back to getting wages up having full employment very sort of post-war war two type environment Not fully there yet, but getting there you sort of see it with us and investments into corporates You know you can see in a you know sort of range of You know Sort of range of different activities by governments now and the increase in tariffs and other things like that and so you know the way I look at it is we're moving back to the inflationary environment and so governments are actually if you look at Japan's a good one it's it's JGB market continues to sell off yields keep going higher but they actually can't seem to get their currency doesn't strengthen naturally anymore they're actually becoming under more pressure to sell their dollar reserves to try and keep the end strong because when they let the currency weaken it's actually causing real wages to fall and the politics is sort of turning against them if that makes sense and so my reed of the world we lived in lived in until let's say 2016 or 2020 this world where we were piling up bigger and bigger piles of capital which pushed down the cost of capital pushed down interest rates And now, instead of saving money, we're sort of spending it. Growth is really good, but inflation is much higher, and these big pools of capital are getting run down. And so the corollary of that is interest rates starting to rise, and will continue to rise until politics intervenes again. And it's interesting, you know, if you look at all the sort of populist politicians around there, they're always the biggest problem, there's always cost of living.

That's always the issue that sort of comes back to Biden them, but they still get voted in they still staying maintain political power and we haven't really seen a Decisive move away from that yet. I don't think it is the number one voting issue It feels like here in the United States is the cost of living You did make an analogy saying you know in the GFC we kind of knew that these problems were coming for three years before They really started to come to roost in the markets. And I would argue that people have been talking about this problem with the Treasury market for much longer than three years, but it is starting to come to fruition now. I mean, was it just the inflationary period post COVID that really opened the door, despite the fact that people have been talking about the unsustainability of the debt buildups for so long? Was that the moment that things changed?

That's a good question. And you know, one of the things that I think works to my advantage. So I'm an Australian who I lived in Japan, lived in Hong Kong, studied Japanese, you know, traveled around the world a bit. So I tend to come at things as like from a globalist perspective rather than the US perspective. So all the, you're right about people talking about treasuries being unsustainable. But before we used to talk about treasuries being unsustainable, we used to talk about JGBs. being unsustainable. And people used to talk about JGBs being unsustainable in the 90s. So very famous economist, guy called, I think, Steve Roach, you know, he said the 10-year JGB at a 4% yield, isn't in 1994, was the biggest short in financial history. He, of course, was wrong because it went down to a negative rate eventually. So JGBs was known as the widowmaker, right? Very, very much so. It's not anymore, but it was.

So what I'm trying to say is that people talked about Japanese debt sustainability for nearly 30 years before it broke. Now what I found interesting is I always thought the JGBs are pretty good leading indicator on US Treasuries. And back in 2020 when COVID started to kick off, what was really interesting was I think it was in March of 2020. So COVID just started kicking off. At that time, we didn't know if it killed everyone or not. We didn't know how long it would last, but the JGB market started to sell off. It rallied a lot into that, as it always used to do, and then started to sell off. My read of that is that the Japanese bond investors looked at the political environment, looked at the political solutions to COVID that were being discussed, which was like huge credit protection massive wage protection, a lot of spending. And went, okay, the world's changed here. And they was trying to sell their JGBs. JGBs sold off very early. And if you look at JGBs, they've been much weaker than US Treasuries the whole way through. And my feel is they still act as a lead, if that makes sense. The weird thing about the sell off, and this is what I think is where it gets confusing.

is that the more you push up wages, the more nominal growth you get, the better the actual financials for JGPs look. So if you look at debt-to-GDP ratio, it's actually falling now, because nominal GDP is growing as they get growth going again. And if you go back to the 70s, when we had like 15, 20% interest rates in the States, federal debt-to-GDP was less than 20%. So

sustainability is not really an issue. It's the politics of wage inflation that's the issue that drives, I think, drives where bond yields go. I think the markets sit there and go, what do I think wages in the States can look like in 20 years' time? How much is this nominal, how much of the, if I buy a 30-year bond now, what's going to be the buying value of that principle?

When I get it back and for the years time am I getting compensated for that? So, you know, do you think wages are only going to be four and a half five percent? You know, we're gonna see four five percent wage inflation for the next three years And it's a it's a tricky one. You know, I certainly think while you have President Trump in power You would be thinking wage inflation be higher than that. I think the Japanese doing the same thing. You know wages in Japan are very low They now have sort of upward pressure And they're sort of saying, you know, is that a 10-year JGB at three? Is that enough compensation for where I think wages are going to be in 10 years time? And they're still saying no. And like, I think, you know, what people forget is like post World War II, so FDI introduced the minimum wage in the States in 1939. At the time, it was like 35 cents an hour.

Okay, 40 years later in 1979 it was three bucks 50 an hour Right, so it gone up ten times in four years now the federal way minimum wage in the states now still only seven bucks 25 or something like that I know no one earns that anymore except for some very sad people in You know some places, but there are some states there are some states that still have the federal minimum wage Yeah McDonald's is more like 20 bucks now, I'm pretty sure. It doesn't matter where you are. So that world is sort of changing. So the question you sort of ask yourself is, how far could wages go? And that's the question I ask myself. I try and come up with an answer. I don't know if it's a good answer. I tell people my answer, I let them make their judgment. My answer is, If I look at people 40 and under, if that makes sense, so in their 20s and 30s, so voters in their 20s and 30s, their number one problem is they can't afford housing. They either spend too much on rent or they spend so much on rent, they can't afford to save a deposit, this sort of thing. So I think, you know, you're going to get a generation of voters coming through saying, we want cheap housing. And certainly you see, you know, both sides of the political.

Divide are all we're pushing for more home building or cheaper housing You know and you have rent controls coming back in New York that sort of thing So I sort of use that as a Well, I think is gonna happen is my view and why I have I think treasuries and interest rates go higher is that if you want to get Housing back to some more reasonable levels. You need to have wages rising at about 7% a year So it's sort of doubling in 10 years. And then you need to have the housing market be flat in nominal terms, so falling in real terms. So that requires you to have a real rate of about 3%. So people keep their money on deposit rather than sticking to real assets. That makes sense. So that gives you an interest rate around 10%. And that's still my target for the year treasury is a 10% yield.

This episode of Other People's Money is brought to you by the Tuquerium Soybean Fund, ticker SOYB. If you follow this show, you know we spend a lot of time on macro themes, trade flows, energy transitions, geopolitical risk. Soybeans sit at the intersection of all three. Here's what's happening. China has committed to purchasing at least 25 million metric tons of U.S. soybeans annually through 2028 as part of the bilateral trade framework. At the same time, The EPA has proposed increasing biomass-based diesel mandates by as much as 67% for 2026. And soybean oil is the leading domestic feedstock for renewable diesel production. SOIB gives you direct exposure to the soybean futures market in a single ETF. It holds futures contracts across multiple delivery months and trades on a standard brokerage account. No commodity trading account required. Now commodity investments carry unique risks, including volatility and the potential for loss.

Past performance does not guarantee future results. Investors should carefully consider the investment objectives, risks, charges, and expenses of the fund before investing. The prospectus contains this and other information. Check the show notes to download their free ebook, Why Investors Are Increasingly Turning to Commodity ETFs, and visit tucrium.com slash SOYB to read the prospectus. Real rate so inflation running around around seven basically around wage growth wage growth keeping up with inflation Wow, that's that is a very different world than where we are today It's funny you do see a lot of people commenting on the level of real interest rates right now and saying that it is so high getting up

above to approaching Approaching that 3% level that you're talking about and and largely saying that this is that level of real interest rates is unsustainable. So you believe that that will become the new normal to see really, really high real yields. Yeah, very high. Because you have a government spending and pushing wage growth, pushing full employment, which is not what we've had for the last 40 years. But you have governments there. And you think about all the strategic investment, all the sort of investments of semiconductors, all the investment into Moving away from a Chinese supply chain all these things. So you have this sort of very tight market government pushing for that But you know trying to sort of keep prices under control particularly housing prices, which are very sensitive to interest rates You know, that's the world I see You know, and that's where the politics is, you know, when you look at populist parties They also sort of want broadly speaking that type of outcome And so that's all the world I see. Yeah. And here's a good way of, I think, makes it easier to conceptualize, I think, for people. And I've written about this a long time ago. I'll have to find that old note and republish it. But so you ever see Back to Future 2? Of course. You sure? OK. I'm not that young.

Oh, you look very young. So anyway, when they get to, where is it? 2015, it's from 1985. They go to 2015, 30 years into the future. And then Doc Brown goes to Miami McFly, here's 100 bucks, go buy yourself a Coke, right? And so people in 1985 thought that by 2015, a can of Coke was going to cost Close to 100 bucks. Maybe it's 50 50 or 100 something like that And if you go back to sort of 1985 and look at the long end of the bond market it was around sort of seven eight percent because that's what people thought Inflation was going to be and actually they were completely wrong inflation collapsed below that they're really the politics for gaining inflation to control it really changed yet the WTO all these things but People basically think what's happened to them in the past gonna happen to them in the future. It's it's just a human condition and so they couldn't I couldn't conceptualize this idea that Prices wouldn't keep rising at a very elevated rate even though they voted in Ronald Reagan and had Volcker running around in their minds They just for inflation would always stay high and I'm saying that was for me. There's a good illustration of how Humans generally just sort of say what's happened in the past going to keep happening into the future And so I think we're going back to we're going to

go through a period of a very long period of above much higher inflation And people are going to get used to that and they're going to slowly demand So I think you already seen it in the results if you look at like bank results It just came out like last week loan growth is through the roof because if people are going I think price is going to go up 7-8% a year and they may borrow 4%. It's a bargain, right? And so you should see loan growth accelerating. We've seen that in Japan. I suspect we're going to see it in the States as well. You're going to see it everywhere. And the only way to get the loan growth down to control the inflation will be higher and higher interest rates.

How do you square this longer term view with a lot of people in the Treasury market are playing an extremely short term game of trying to figure out whether is it going to be this meeting or next meeting where they're going to hike. And it feels like Treasury rates. Are are really trading around and even gold I mean you could argue that this big sell-off in gold was that people had had such high expectations for rate cuts coming in this year and now we're potentially getting hikes and and Obviously gold for so long has has traded off of that real interest rate and we're just seeing it continue to go higher when people were expecting a big reversal in that and the change in real rates has driven gold so so many of these asset classes it feels like are being pushed by short-term expectations you have this long-term view how do you work around these short-term moves with still keeping this long-term view in in front of you back in your days when you used to manage money so a horseman the way we had this sort of pro-captoral world and the big thing that people always misunderstood was that inflation was going to be lower and they didn't understand the metrics by that but we used to have this sort of beg-a-line-neighbor devaluations used to happen where wages would be dropped in different parts of the world and it kept wages relatively low everywhere and kept some inflation in check and so you know the way I used to think about was okay I'll be looking at which exchange rates looked most mispriced, when were they starting to show signs of correcting? And then, you know, manage money around that because that's the way the politics worked. These days I sort of look at the world and I think about, well, you know, I think interest rates can be much higher than what the markets expect. You know, where is that priced incorrectly and where isn't that priced incorrectly? That makes sense.

and you just sort of move from one place to another place. And if I look at something like gold, gold for me does do well when the Fed is sort of talking about cutting rates or doing stuff like that because then people know nothing's there to stop assets rising with rising wages. So the way I try and do it is just have a number of different assets all all fitting in with this idea of higher rates and then trying to manage around that, you know, moving capital between where it's priced incorrectly and where it isn't. And you know, generally that sort of works for me. It's sort of just, but you know, it's the opposite of how I used to do it, which was always looking at where currency risk was not priced correctly. Now I look at where interest rate risk is not priced correctly and try and stay, you know, as close to that as possible.

you brought up the housing market before and you think we're going to need housing prices to basically remain flat, nominally decrease real. You did give the caveat that you take a global view, but I think a lot of people think about the housing market, particularly in the US. We just had this bipartisan bill come through trying to address these high housing prices, and Trump basically refused to sign it. And has come out multiple times and said, I don't want to hurt all of these based by and large older people who have huge amounts of home equity. They're just one. They vote more. It's a huge voting block. And the American people have used home equity value as a piggy bank for decades. And despite what the young people want, lower housing prices, there's a bunch of people who never want their house price to go down. I mean, do you think there's going to be a winner in that tug of war?

and will it be the older or the younger people? U.S. is a difficult one because it's such a huge country and there's so many different dynamics going on there. If I start with the UK and then I can try and talk about the States, in the UK, for example, it's really happened. So if you look at high-end property markets in London, for example, I've done nothing in nominal terms for the last 10 years, pretty much where they were pre-Brexit. And that's even with the pound being weak and you know growth being okay, you know, you've just seen this sort of really decline in nominal rates in line with your sort of UK gilt market has been much weaker. And you've seen wages go up. So you really had some rebalancing going on there. The issue

now is that they're trying to, you know, they're trying to push through this sort of build more policy, which is you know, difficult. You're taking on even more entrenched interests. You know, and Starla talked about it, but couldn't do it. You know, maybe the new Prime Minister can. But that, I think that trend is going to be ongoing. And in the US, you know, certainly, again, if you look at like sort of high end markets like New York market, like the top end there, I think is probably trickier these days.

you know, because I think you can see the legislation's coming in. So in the UK, for example, high-end properties now in London anyway, you know, attract to extra surcharge. I think the similar type of policy is coming in the States. And these things can get very dramatic. You know, London, which is a very old property market, you know, at a certain point, you know, houses got broken up into flats because they were would avoid a lot of taxation issues and made financial sense and then last you know 20 years or so the flasco amalgamated back into houses because they made more financial sense so you know where tax goes property markets and markets in general tend to follow and so I sort of see that as an ongoing process but certainly you know Trump I think you know only really has two years left I just don't see him going for a third term, even though he probably thinks he can. The question is, who replaces Trump on the right as a standard bearer? Is an interesting one. They're passing things like millionaire, you know, pietitare taxes here in New York City. So certainly what you're saying about tax policy, obviously we're having...

You know millionaire billionaire tax is being proposed in places like California and you're seeing Capital move but that is one of the differences I would argue between the UK and the US is that they're competing tax regimes and it might be the thing that Extends it a little longer is that it's not driven by national policy so much and in the short term different jurisdictions can compete for that high-end dollar with more attractive tax policies. Yeah. The big comparison is always California and Texas. And what is interesting about Texas is that they have a far more relaxed building code. That makes sense. So they've been able to build houses much more readily and keep them cheap. Where California in housing is notoriously expensive. And you can see the sort of California.

Democrats are definitely moving to a let's build more housing type policy get rid of you know restrictions on and regulations on building so you can see the politics is sort of you know I have this view that Ultimately, it doesn't actually matter who you vote for you're gonna end up with the same policies anyway. It's just a matter of style You know, you know, it's like when People voted for Biden after Trump. He didn't really get rid of the tariffs He didn't really change a lot of policies that Trump had in place You know and it's the same in I think in the UK is a even with the Labour government in place We haven't seen huge dramatic shifts in the policies of the conservative government had in place because ultimately all politicians are the same they just want to get re-elected and they just do whatever they think the public one will say they want to be reelected. I don't know if that makes sense or not, but the shift is definitely to the left. In this world where real estate is doing nothing nominally, losing you value in a real basis, treasuries equally don't look super attractive. Bonds don't look attractive. What is the investment behavior going to look like? And are we maybe getting a little preview?

of what the future looks like in the form of rampant speculation on equity markets and a reach for even more yield in private credit markets. How much is the future going to look like a supercharged version of what we're seeing right now? So if you go look at the 70s, the 70s, the markets were very up and down. And they really moved on what they thought interest rates were going to do, particularly the Fed. The Fed is going to be looser on interest rates than the market sawed and then very volatile. But in real terms, they were going nowhere. And sometimes I feel we're getting close to that. The big issue that I'm struggling with a little bit is that in the 70s, if you owned oil and gold, Right, which was sort of two related assets. He did fine. Those are two assets to own but that was because oil was the Oil was the real key to economic growth everywhere and supplier was restricted not just revoked back domestic US production was restricted through the Texas Railroad Commission, which is an FDR type policy And so once I've got deregulated all market became more stable. I can't help but feel that the modern Modern growth is actually all driven by semiconductors or computers, if that makes sense. And so that's why semiconductor prices are like the new oil, oil from the 70s. Certainly we're starting to see that, you know, Nvidia chips have been very highly priced for a long time now, five,

six years, you know, they've looked very expensive. And I thought, you know, historically semiconductors don't stay expensive because we just build new ones, build new fabs.

They haven't come down. And now what we started to see is, you know, the more, you know, generic chips, I said, you know, the generic like DRAM, NAND, now now priced like NVIDIA chips, if that makes sense. And, you know, there is a restriction on the supply there. We basically don't let the Chinese buy the high end equipment to make them. You know, and the Chinese have been the marginal supplier for all. all sort of productive equipment for the last 20 years, 20, 30 years almost. And so I sometimes wonder if you stripped out the sort of semiconductors from markets, would we already be looking like the 70s? And there are certainly some signs of that. I see profound weakness in some areas, mainly driven by interest rates, whereas the sort of semiconductor area keeps us up.

But you know, it's really affecting margins for like Microsoft, you know, Meadow, these other things. So you've got this sort of strange, you know, it's not quite a perfect analogy, but it's not a terrible analogy either. Don't that make sense? But, you know, we are edging towards a different type of world, I think. So you have the businesses that rely on... you know, cheap capital to fund themselves. The whole business is set on that. And you think those businesses are going to be harmed. You've got financials basically hitting all time highs. They benefit from these higher interest rate environments. And then you have the mega trend of semiconductors and AI companies. You know, there is tremendous debate right now. Very few people sit in the middle on this about whether it's fair for the prices that we're seeing in the AI supply chain and questioning whether it's a bubble. I mean, do you have a view on the pricing of these AI related equities right now? So I have a view. A lot of people don't agree with this view, which is fine. I don't have a problem with that. But I'll just say, it's my view. So I think what's happening with AI, this is my view of it, is that The LLMs go invented and I think very quickly the big CEOs of some big companies worked out that this was going to break down the moats of the very profitable businesses, particularly for Google. I know I rarely Google search for me more. I tend to search for everything in chat GBT first because I get cleaner, better answers. So if I was there as Google, I'd be

thinking, okay, we're going to how advertising business is threatened. And, you know, you start thinking about all the other business, software business is getting threatened. So you start, you go, okay, these big companies are hugely profitable businesses are going, okay, we need to spend, you know, we need to spend because we've got to protect the, you know, try and build a new mode, which is fine. And, you know, I think that was the first stage of it. I think the real problem has been that, you know, Musk with SpaceX has basically sort of said, I wanna be in the AI business as well. I'm producing compute. I've got ideas for making even cheaper compute. The satellite based data centers. Who knows? I know a lot of guys who fancy themselves as scientists or financial scientists say it's impossible. And I'm like, yeah, but he's already built about three or four impossible businesses and destroyed the incumbents. So I think for me, like having Elon Musk come into the data center compute business has probably got a lot of these sort of big CEOs and we just have to spend and spend to try and make it as expensive as possible to try and keep them out. I think a good analogy is, you know, he launched Tesla. A lot of companies were very slow to get EV products, you know, they were trying to protect their legacy products. And now, you know, Tesla's worth multiples of the entire old internal combustion engine producers. I feel like the tech space of going through a similar sort of, okay, we don't spend, we're toast, because a lot of the sort of pushback I get on AI, a lot of the negative research I read is, no one's ever gonna make any money on AI with this much investment. And I'm sort of saying, I don't think the investment's going in because of the AI, it's going in to protect the existing, hugely profitable businesses that Google, Microsoft, even Amazon have. They're trying to stay the kind edge and try and keep Elon Musk at bay. That's my read of it. And I think all of these guys also remember the Topcom bust. They remember it very differently to how investors remember it. Investors remember it as, oh, buying all these whiz bang companies and then went bust and zero. The guys that survived to run the big tech companies now, the ones that kept investing all through the downturn, you know, and they remember all they remember is the guys that stopped investing disappeared. Right. So, you know, in the soft bank, he kept investing the whole way through, you know, he's now richest managed man. That's, so the mentality is totally different, which is why I'm skeptical on the, I'm going to come in tomorrow and read that Microsoft.

Meta, Google, Amazon have all cut AI capex by 50% and all the semiconductor stocks are down 50%. I'm very skeptical, skeptical of that possible future headline because I feel like the first one to cut spending loses. It's almost like in the States when you have a civil lawsuit, the first one to come to their senses loses. That's the sort of condition we're in now, I think. Another difference is we don't have the ghost fiber or anything, the fiber that's being completely unused in the 2000s. You look at these charts of GPU availability and we just had a big new model come out in China and everyone's talking about how deflationary it is for the pricing of AI, but they don't have enough compute to support the demand for the model.

that even if we get these cheaper, more efficient models that we just don't have enough compute and we're right back where we were, it does bring down about the potential profitability of the frontier labs, who's going to be the model provider that makes any money. But I don't think it bodes negatively for CAPEX in any way, these developments that we're seeing. What about the potential for these developments to impact your view on labor and wages? Arguably a big reason that that people are spending so much on this is they do see perhaps the same world that you do in terms of labor and these companies that are by and large reliant on on labor to maintain their profitability see that as a risk and and they see this as a potential out I mean do you do you believe that AI is going to throw a wrench in this higher wage, greater value of labor world that you see? I don't think so because I think the AI is mainly negative, to be honest with you, mainly negative with sort of the professional classes have had their wages move in line with asset prices. So, you know, so people who aren't priced off minimum wage or, you know, that sort of thing, it's more the sort of accountants, lawyers, fund managers.

high end doctors you know these these sort of people who sort of price relative to you know whatever the market value is I think AI is most vulnerable for them as my read which I think is sort of part of will fit in naturally with the politics that we're going into of like you know how much should a CEO be earning relative to the lowest paid worker in their company. That's an old discussion and that ratio has been going up and up and up for years. I can see that turning and AI could be part of that. It sort of more narrowly defines what is actually worthwhile and what has value.

Yeah, so I don't think it affects it. I mean, you gotta remember like in the post-World War II period, the big technology that suddenly came out suddenly in 1945 was nuclear. Nuclear and jet engines and the car became much more common post-World War II yet much more huge technological transformations but at the same time wages went up a thousand percent over that period. So sometimes technological change and wages are actually two separate discussions. It's a political discussion.

The technology is more who gets some money, who doesn't. But the weather wages are going up a lot, so it's a political discussion, at least in my view. If that just makes labor unprofitable relative to digital labor, for lack of a better word, we'll just see... unemployment will remain extremely low, but labor participation is going to drop. You don't think that that's a possibility where wages are high, unemployment is low, and this is a problem. I mean, we've seen falling labor participation, you could argue it's a demographic trend more so than a lack of demand for labor, but that's a trend that has been going really since the GFC. It's hard to find an example where technology is suddenly caused.

you know, a huge increase in unemployment tends to be financial factors. Normally with technology, at least in my read of it, is you get new technology comes in, companies do a process a bit better, they tend not to fire that many people, but they sort of, and then you get new technology, new companies coming through that use, and they, new technology much better, and then they sort of expand massively their employment. You know, and they, that tends to be the way it works. If you look at how much technology has improved and how many jobs are used to exist that disappear, normally we just move somewhere else. I know people are worried about that, but I've yet to see a real example of it working that way. And certainly AI, I think, what I see with AI, it's sort of from my perspective.

is as it gets used more and more, people are sort of recognizing AI products more easily. Oh, there you go. That's Slop. That's an AI generated sub-stack or whatever. And they instantly devalue it, you know, that makes sense. So what my sense of it, and this is true of my sub-stack, I don't use AI for any of the writing, because the way it writes is very generic, PowerPoint-ish,

not always logical. loves to use a lot of dashes it doesn't it's sort of it's nice if you're a really terrible rider it's great but i don't think it adds much value and i think people get turned off by it so what i feel like is with AI it's sort of it makes very easy low level stuff easier to do but the high end stuff it adds the value to the high end stuff because like oh you know you need to have a lot of skill now i can see you need to have a lot of skill to ride that way. And I think that's always been the way. Once something becomes more mass produced, you tend to put more value on high quality stuff. Clothes is a good example. Clothes used to be very expensive and now we mass produce it in China and India and places like that. But we still pay a few thousands for an Italian suit because it is noticeably better.

It is noticeably better and the argument has always been that an ounce of gold is what what buys you a suit these days, right? Yes that throughout throughout history an ounce of gold and the price of a well-made men's suit are about the same and I can tell you having just been in the market for a suit of 4,000 is about what it it'll run you to to pick up a nice Italian, you know handmade suit So the it has held It has certainly held at least for right now. Um, so, so it's interesting. You don't see it going that way and, and arguably this might fit in with your political view. I mean, do you think that, that there is a risk to the AI spending trade that could come from politics? You know, I live in New York state. We just banned data centers for a year. It's by and large, extremely unpopular, both the technology and the infrastructure build out around it, whether those arguments are, are uninformed.

is another debate to be had, but it's an extremely unpopular new technology that people are very scared of. Are you concerned at all that the spending could hit a roadblock that's political? It could do, but I think the politics is much more supportive. Generally speaking, the one unifying characteristic of Americans is they love to win everything. They're sort of in an AI race with China. So I can understand New York state blocking, development, this sort of stuff, but if it becomes perceived that the US is falling behind China in any way, shape or form, then the political will will be there too. Because no one will want to look weak on China, would be my observation. Neither left-wing or right-wing politicians. And I'm pretty sure if you look at the way The Trump administration talks about AI. It's a technology they

want to own and dominate. So I struggle to see the politics negative there. In fact, if anything, it becomes a strategic asset like nuclear. So everyone's trying to get it. And so the spending should be there. The only thing I could really slow it down, I think, is a big recession. And that would be, again, a political decision.

gain the fed to jack rates to like 10% try and stop everything and I guess the real issue you know I think a lot of people have because of the past we grew up in or lived through there so where they have a big problem with my arguments is like we've had recessions before going to come back again I just go the thing for me is I think austerity where governments come in and they suddenly stop spending is as a political policy dead in the water I just don't see it. And without that, you know, the growth will be good, inflation will be strong, and these things will continue for the foreseeable future. I just don't see a political environment right now where we always sort of go, you know, we'll take some austerity because we want to get interest rates lower and inflation lower and we're tired of this boom days that we've had. I just don't see that politically. I don't see any politician pushing that because they're all terrified of the of the populace both on the left and the right. So the spending will be there and if the spending is there inflation will be there too. So you think that AI will probably be put into sort of like the military spending category where it doesn't really matter what the people want. I mean you could argue here in the US people have said we want lower military spending for a long time and it has never happened. So you think it's just one of those one of those categories that's just going to be unaffected by the populist will of the people? Yeah, I think at the moment, because it's too strategic of an asset. I just can't see any US politician being the one to say they lost the AI war with China. I just don't feel like that's something that's conceivable.

We've seen a pretty strong momentum unwind right now just because the CAPEX doesn't stop and the spending continues doesn't mean that asset prices can't react negatively to some headlines or just, you know, there's no rule that says that stock prices have to follow fundamentals and that has played out many times in history. You know, people are very exposed to this trend. The punch bowl tends to get pulled away after people have some pain, right? Nobody wants to take it away while the party is going on. I

mean, do you do you have any concerns about the the level of exposure that people have that the triple levered ETFs that the speculative fervor that we have around these stocks and the potential for pain there, despite robust strong fundamentals, triple levered ETFs is like fundamentally a bad idea. You know, You know, just, you know, my experience of these types of structured ETFs, say, tend to cost retail investors a lot of money, you know, and they're, you're primarily targeted to them. So yeah, I could see an unwind there. You know, it's like with everything, if it's like the old saying, you know, as long as you don't get too greedy, you'll be fine. But I think the rise of triple-level single stock ETF, like an SK Hynex or Micron, really it's about being greedy and the problem you've got as we've seen in financial markets before is like when you get unwind in these types of products they have to sort of they don't they do move away from fundamentals they move to basically the the pain point when people are forced to capitulate I think we're sort of seeing that in the in the sort of memory trade at the moment I mean I think I was pointing out my substack is Yeah, the memory stocks are very weak, but memory pricing has actually been very strong this month You know so it sort of points to you know excessive it was excessive Greed excessive long positions and the markets just sort of decided to come and to take your money from you that makes sense How long that goes on? I don't know because you know, yeah, as you've seen before it can go on for a while essentially the LTCM blow up It was very similar. They got two levered. The market realized they're at leverage. They came and took all their money from it. And so you do get these are blowups from time to time. I actually have concern about the way that AI technology is impacting the research that people do, arguably in past speculative bubbles, people kind of knew that they didn't know anything, that they were playing with, you know, half of the information. And now you've got this machine that can tell you anything you want to know. It tells you that you're a genius. And you can put it, well, this is my thesis. And I'll say that is a very strong fundamental thesis, Max. You've really been thinking hard about this. I mean, and I think that that's something that people don't quite...

get that the market doesn't care about your knowledge of the technology or the fundamentals or whatever that it can find that pain point. And you've got a lot of people out there who think, well, I've done all this research. I understand where how important this thing is in the supply chain. And they

think that that's enough and that they deserve returns because of that knowledge. And I just have a lot of concern that that will actually create some serious negative feedback loops on any potential leg down. I don't think you need AI for that. I think is you know if you talk to when I talk to them You know people I meet who are like invest into crypto not Bitcoin like specky specky crypto. I go How'd you find that? How'd you find that? coin Like oh, it's my WhatsApp group. We all talk about how great it is as the next big thing I'm like, okay, you know and basically it's an echo chamber of like oh, this coin's gonna be the next big thing You know and you know run into him a few years, you know Mark a few months later and go, how's it going? They go, I don't know. I can't bear to look at my crypto portfolio anymore. So I don't, you know, and that is, so, you know, AI maybe have replaced WhatsApp groups, but humans have always, humans always rationalize positions. Even though I do it, it's why I like, I prefer managing other people's money because it helps me stay disciplined because you sort of have to think about, oh, I own this asset.

How do I explain it to this person, you know, whoever, you know, who's entrusted me? And, you know, if you can't explain it, then you're like, I can't own it. Whereas when I, it's just my own PA money, I might hold on to an asset far too long. Cause I think, oh, I'm a genius. It'll come good at some point. You know, so having that third party discipline is out there. But, you know, people have done crazy stuff for as long as there have been markets before AI turned up. And for random reasons as well, you know. Maybe it makes it worse. I think it just stays the same. Let's close out with a little bit of assessment of other risks maybe that we haven't talked about. What are the areas that you think people should be the most concerned about if rates do continue to move higher? What are the areas of the market that are sort of most mispricing this interest rate risk that you talked about as being sort of this new framework for you?

I'm amazed in the sort of private credit, private equity space, private credit in particular. You've seen like gated redemptions, particularly in that Cliffwater one. So I was just looking at and what I was surprising is yes, they had large redemptions. They also still had large subscriptions on the other side. It was just the redemptions that sort of overwhelmed the subscriptions for the first time. And so then they put in a, you know, a gate

on redemptions to try and manage that process. I couldn't help but think, okay, so they got redemptions and they had subscriptions. What happens when there's no subscriptions at all? When people suddenly go, oh, I'm gaining 7%, 8% in money market funds. Why am I bothering with this illiquid private credit fund that I don't know anything about? We're asset values already weak. These things, I think we mentioned before how You can have problems in something for two, three years before they actually metastasize into something worse. And certainly private equity, private credits have problems now for a year and a bit, which I found very strange, particularly with private equity, when they were talking about liquidity issues. This is they talk about liquidity issues with credits, for instance, all-time lows and stock markets all-time highs. I'm thinking, how can you have liquidity issues in that environment? That makes no sense to me.

I think it just shows that the quality of the assets with those businesses are very problematic. I think they are of all those sort of businesses I look at, they're the ones most hopeful that the Fed comes in and cuts rates back to zero and bond yields fall back to sub 3% or something like that, because they've built their whole model about ever lower interest rates, which they're not getting. And that's an area that, you know, I think it's like very typical in my experience is like there's a problem. People get worried about stocks fall for a while, but then it doesn't become any worse. And then they forget about it. And then the problems still work their way through slowly, but surely that would be the area that I think, you know, much higher interest rates could potentially cause much bigger problems. Okay. And specifically like the listed asset managers, you think that they are potentially at risk of continuing to drop. I mean, they haven't fared very well for the last year or so. Financials are doing well, but it's the banks, not the asset managers. That's probably a good way to sort of, you know, go full circle. You know, when I was talking about like pools of capital sort of dwindling, like some wealth funds, I also think like the pools of capital have ended up in private equity because it probably really is like this pool of capital.

It's going out and trying to make you more money by buying, but not actually doing anything. They're not making anything. They tend not to be investing either. They just buy firms, financially rework them and give you

some money back. This idea of falling pools of capital, shrinking pools of capital should be extremely negative for businesses like this because the cost of capital rises, that's negative. And the pool of capital upon which they've been able to draw upon to raise these phenomenal amounts of money. should also be getting smaller and so I see you know if this sort of in the in the world I think we're going to these are much more problematic you know the you know private equity private credit these businesses all turned up in the 80s after we sort of moved away from the pro-labor policies that existed you know they're really sort of for me big vestiges of a pro-capital era that I think is coming to an end.

Well, and arguably just the amount of money that's flown in flowed into the sector has has narrowed the the arbitrage that was available just the big difference between private market valuations and public market valuations that has completely closed and you know, if you look at the the memory companies You can get you can get cheaper valuations cheaper forward valuations in the public markets now with huge amounts of growth Potentially, yes. Yeah, potentially. It's a big if it's a big if Perhaps the biggest if right now in markets. Well, Russell, we will end it right there. People can read your sub-stack. What is the, what is the URL these days? It's russell2ls-clark.com. So www.russell-clark.com. Wonderful. Well, thank you so much for joining us today and sharing this. People, I highly recommend going to subscribe to the sub-stack. We'll do it again soon. Thanks a lot, Max. Thanks for listening.

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